

PREPARED BY



PREPARED FOR



ADDENDUM TO THE PROPOSAL OF 28 JULY 2026

Professional Indemnity & Defective Workmanship

The cover you asked us to price after the July review — the one gap that was open on every quote we put in front of you — together with a second policy of yours that has since come to light.

NEW COVER

R10m

design · liability · workmanship

COST

R4,483/mo

R53,797 a year · 0.36% of turnover

THREE SECTIONS

● Professional Indemnity

General Public Liability

● Defective Workmanship

The gap we flagged in July, now priced

In July we compared three markets for your commercial and fleet programme and told you that **every one of them excluded defective workmanship** — the exposure closest to what you actually do. This quotation closes it. It is written by **AC&E PI & Liability Underwriting Managers** on behalf of **New National Assurance Company**.

SECTION	LIMIT OF INDEMNITY	YOUR FIRST AMOUNT PAYABLE	PER YEAR	PER MONTH
Professional Indemnity Design and advisory work — electrical installation and solar. Sub-consultants included.	R10,000,000 each & every loss	R25,000	R29,681.00	R2,473.42
General Public Liability Injury and damage to third parties. Includes work away and sudden pollution.	R10,000,000 each & every loss	R10,000 10% min R25,000 on underground services	R7,420.00	R618.33
Defective Workmanship Damage caused by a defect in work you have completed and handed over.	R10,000,000 annual aggregate	10% of claim min R25,000	R16,696.00	R1,391.33
Total	•	•	R53,797.00	R4,483.08

INCLUDED AT NO EXTRA PREMIUM

- ✓ **Work away and sudden and unforeseen pollution**, within the liability limit.
- ✓ **Sub-consultants**, within the professional indemnity limit.
- ✓ **Statutory defence costs R1,000,000 and fee recovery R250,000.**
- ✓ **Loss of documents R250,000**, spread of fire R250,000, wrongful arrest and defamation.

WORTH KNOWING

- **Paying monthly costs you nothing extra** — twelve payments of R4,483.08 come to the annual figure exactly.
- At your declared turnover, the whole package is **0.36% of a year's revenue.**
- **Defective workmanship is an annual aggregate**, not per claim — two bad jobs in a year share one limit.

IN ONE LINE

This is the only cover in your programme that answers when the work itself is the problem. Everything else you carry responds to fire, theft, a vehicle or an accident on site.

Which one answers, and when

These are not three versions of the same thing. Each answers a different kind of claim, and **the wordings are written to hand off to one another**. That matters more than the limits, because it decides whether a claim is paid or argued.

SECTION	WHAT IT ANSWERS	WHERE IT STOPS
Professional Indemnity	You designed or advised, and the design was wrong. The specification, the sizing, the advice on the system.	It is not a workmanship cover. If the design was right and the installation was not, this section does not respond.
General Public Liability	Someone is injured, or property is damaged, while you are working. Includes work away from your premises.	It does not pay for the consequences of the finished work. Once the job is handed over, this is not the section.
Defective Workmanship	The job is finished and handed over, and a defect in the work then causes damage or injury.	It excludes anything arising from defective design , and it does not pay to redo the job itself.

THE REASON WE RECOMMEND ALL THREE RATHER THAN ONE

Read the two boundaries above together. **Defective workmanship excludes design. Professional indemnity excludes workmanship.** A real claim — an installation that fails and causes damage — rarely arrives neatly labelled as one or the other, and if the two sections sit with different insurers, or one of them is not bought at all, that argument becomes yours to fund. **Held together on one policy, the handoff is internal.** That is the single strongest reason to take the package rather than a section of it.

WHAT DEFECTIVE WORKMANSHIP DOES NOT DO

It pays for **the damage the defect causes** — not for rectifying or recalling the work itself, and not where the work simply did not produce the result expected. If a board you installed fails and burns a client's switchroom, the switchroom is the claim. Replacing the board is yours.

ONE OPERATING CONDITION WORTH PASSING TO YOUR SITE TEAMS

Cover for **underground cables, pipes and services** applies only where you have asked the relevant authorities and service providers about position and depth **before** work starts, and obtained the wayleaves. Where a service is not where the plans show it, the first amount payable is 10% of the claim with a minimum of R25,000. **Where a service is not on the drawings at all, or was damaged through failure to take care around a known service, there is no cover.** This is a site procedure, not a policy footnote.

A second policy we did not have in July

While pricing this add-on we received your **Contractors All Risk policy** — Guardrisk Construction & Engineering **CAR167430**, through the same broker. It was not in the July comparison, so every total in that pack understated what you actually spend. Here is the corrected picture.

POLICY	TODAY	RECOMMENDED	MOVEMENT
Commercial & fleet Guardrisk / Protocol PTC0000-06970 → Natsure / Compass COM191179	R7,408.35	R6,997.56	-R410.79
Contractors All Risk Guardrisk C&E CAR167430 — R15m contract works, R10m public liability, Sasria. Unchanged.	R2,336.62	R2,336.62	SAME
PI, liability & defective workmanship AC&E / New National — new cover, nothing to replace.	—	R4,483.08	+R4,483.08
All-in per month	R9,744.97	R13,817.26	+R4,072.29

THE RE-MARKET SAVES

-R410.79

per month, on stronger liability cover

THE NEW COVER COSTS

+R4,483.08

per month, for something you do not have today

NET MOVEMENT

+R4,072.29

≈ R48,867 a year

HOW TO READ THAT NUMBER

You are not being re-priced. **Almost all of the increase buys cover that is not in your programme at all today**, and the switch on the commercial policy pays for roughly a tenth of it. If the answer is no, the honest position is that you carry design and workmanship risk on your own balance sheet — which is what you are doing now.

A NOTE ON YOUR CONTRACTORS ALL RISK POLICY

It carries a **maximum contract limit of R6,000,000**, and any contract above that is excluded unless it is specifically noted. Your Linden Lane decommissioning contract at **R22,000,000** is correctly noted by endorsement — that is exactly how it should be handled. Please make sure **every** contract above R6,000,000 is put to insurers the same way, as they arise.

What this cover does not do

1 • IT STARTS FROM DAY ONE. IT DOES NOT LOOK BACKWARDS.

The quotation carries a **retroactive date of inception** and is written on a claims-made basis. Your Contractors All Risk policy says the same thing in its own words — *"run-on cover: not included, only new projects as and when the policy becomes effective"*.

In plain terms: every installation you have already completed and handed over is not covered by this policy, for design or for workmanship. On solar and battery systems, defects tend to show up years after handover. We are asking the insurer to price a retroactive date. If they will not offer one, we want you to have this in writing before you decide — it is the most important sentence in this document.

2 • THE LIABILITY SECTION IS LARGELY COVER YOU ALREADY HAVE

You carry **R10,000,000 public liability on your Contractors All Risk policy**, and further liability cover on the commercial policy. The insurer's rule is that **defective workmanship can only be bought alongside their own public liability**, so the R618.33 a month is effectively the price of admission to the defective workmanship section rather than new protection. We are asking whether they will write it over your existing liability instead. **We would rather tell you that than sell it to you as an extra R10 million.**

3 • WE NEED YOUR REAL ANNUAL TURNOVER

Your Contractors All Risk schedule declares an estimated annual turnover of **R15,000,000** — yet a single noted contract on the same policy is **R22,000,000. Professional indemnity is rated on turnover.** If the declared figure is materially understated, the premium is wrong and, more seriously, the policy is open to challenge at the first claim. Please give us the actual figure before we place anything.

4 • TWO SMALL CONFIRMATIONS, AND THE DEDUCTIBLES

The insurer has described your work as **"design and advisory electrical installation works and solar"** and asked us to confirm it. Given Linden Lane involves a **1001 kWh battery energy storage system**, we want **battery energy storage named on the policy in so many words**, not left to be argued later. Please also note the first amounts payable are higher than you are used to: **R25,000** on a professional indemnity claim and **10% with a minimum of R25,000** on defective workmanship, against R5,000 on your contract works policy. On a R500,000 workmanship claim your share is R50,000. Finally, the insurer requires confirmation that **no claim or incident has arisen since 5 August 2026**, when the proposal form was signed. If anything has, tell us now rather than later.

Where we go from here

WHAT HAPPENS NEXT

1

You give us the turnover figure

The actual annual turnover, and confirmation of the work description including battery energy storage. Nothing is placed until we have both.

2

We go back to the insurer on two points

A retroactive date, so your completed work is not left outside; and whether defective workmanship can sit over your existing public liability.

3

You decide the shape

All three sections, or professional indemnity alone at R2,473.42, or liability and workmanship together at R2,009.66. We have set out on page 02 what each one leaves open.

4

We place it and record the advice

Signed proposal form, premium in full at inception, and a written record of anything this policy does not reach — so there are no surprises at a claim.

QUOTATION VALID UNTIL

6 Sept 2026

Thirty days from 7 August. Subject to a signed proposal form, confirmation of claims experience, and the insurer's right to survey.

CHOOSE YOUR SHAPE

R4,483 • R2,473 • R2,010

All three • PI only • liability and workmanship. Per month, VAT included.

YOUR CARTRACK CONTACT

Cules van Dyk

Insurance Advisor

13 Keyes Avenue, Rosebank, Johannesburg

+27 82 311 4868

POWERFLOW ELECTRICAL HOLDINGS — NAME, CAPACITY & DATE

CULES VAN DYK — CARTRACK INSURANCE AGENCY (FSP 17266)